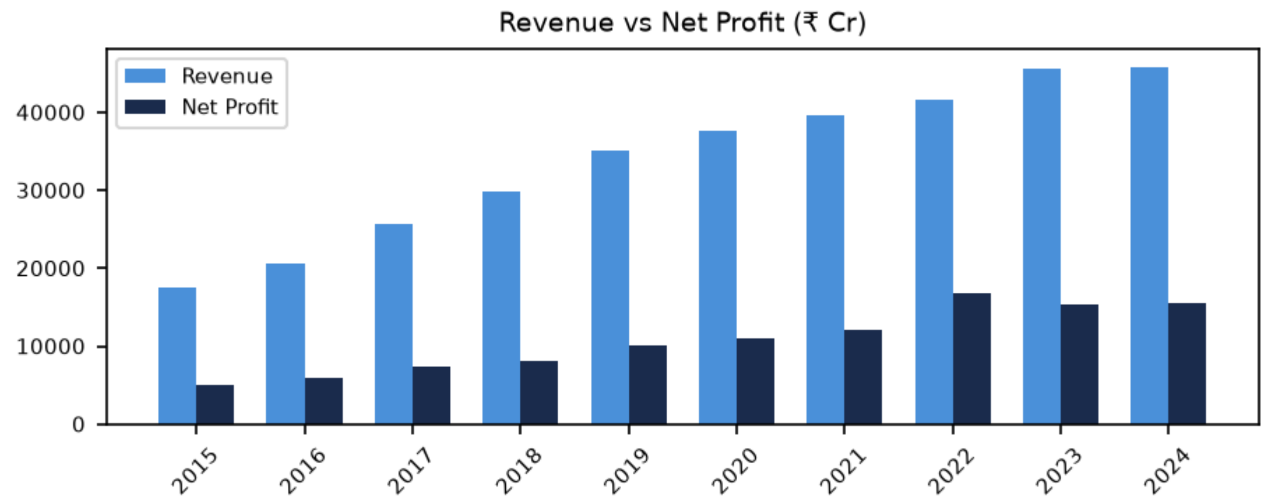
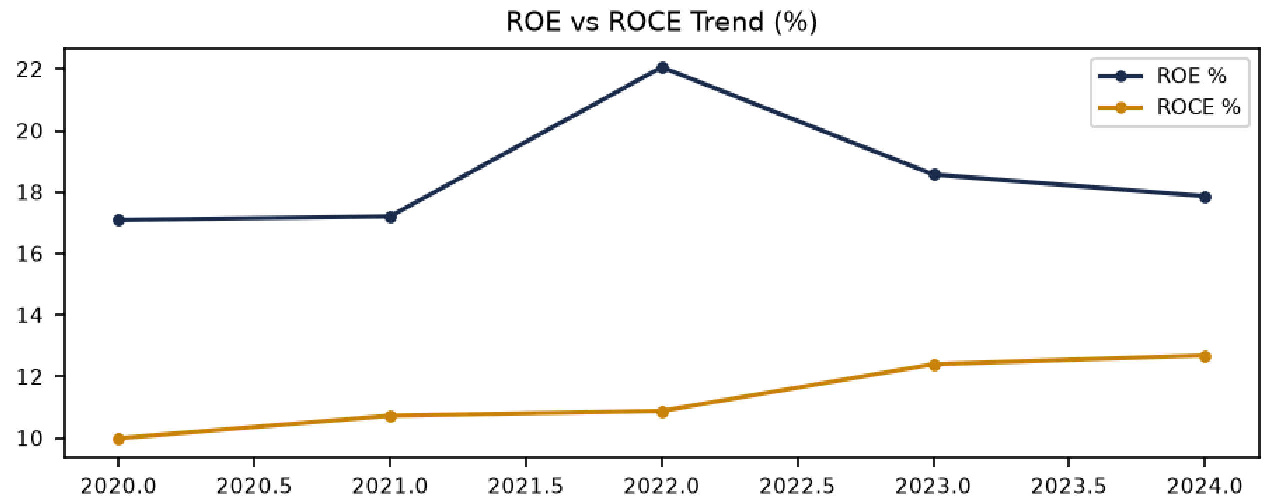
Power Grid Corporation of India Ltd

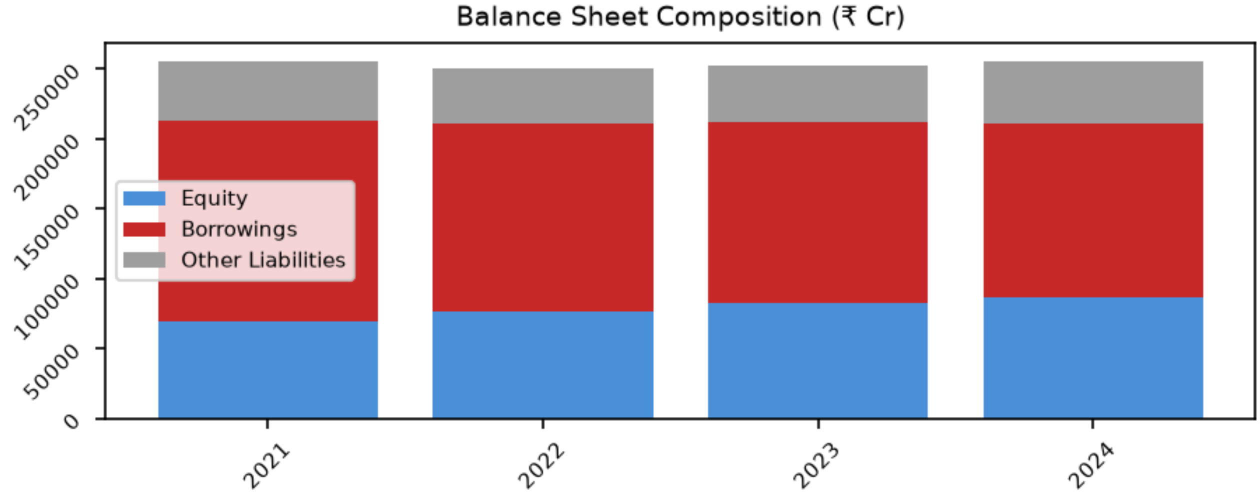
POWERGRID · Energy

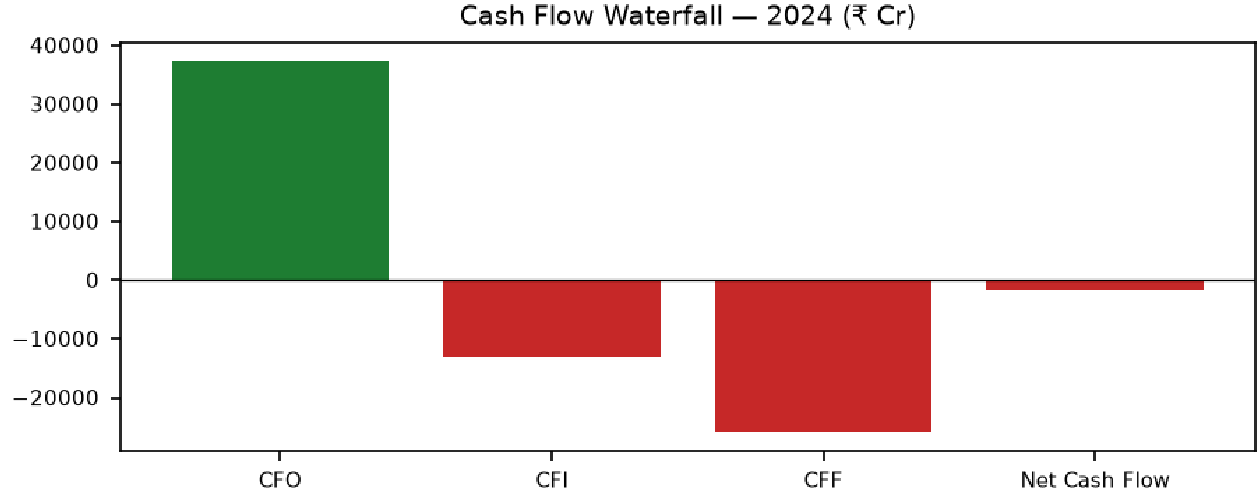
ROE	ROCE	Net Profit Margin
17.9%	12.7%	34.0%

Debt-to-Equity	Revenue CAGR (5yr)	Free Cash Flow
1.42	3.0%	■24,176 Cr









Pros

✓ Strong free cash flow generation over 5 years signals healthy business fundamentals

✓ Operating profit margin above 25% indicates strong pricing power and cost discipline

✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

✓ Growing asset base funded by internal accruals reflects self-sustaining growth

✓ Consistent dividend yield above 2% backed by positive free cash flow

Cons

✗ Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum

Capital Allocation: Reinvestor